

SANLAM KENYA PLC RESULTS

AUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

MESSAGE FROM THE DIRECTORS

The Board of Directors of Sanlam Kenya Plc (the Group) announces the Group's financial results for the year ended 31 December 2022.

Financial performance for the period ended 31 December 2022

The Group recorded a loss after tax of KShs 54 million, a significant improvement from the prior year loss after tax of KShs 542 million. Total assets for the group grew by 7% to close at KShs 37.1 billion from KShs 34.7 billion recorded in the prior year.

Sanlam Life Insurance Limited recorded a profit after tax of KShs 609 million (2021: KShs 642 million). Total assets for the life business grew by 7% to close at KShs 31.2 billion from KShs 29.2 billion recorded in the prior year.

Sanlam General Insurance Limited recorded a loss after tax of KShs 152 million, a significant improvement from prior year loss after tax of KShs 501 million. Total assets for the general business grew by 15% to close at KShs 5.4 billion from KShs 4.7 billion recorded in the prior year.

The Board of Directors is focused on building a resilient business going forward. A competitive customer value proposition, innovation, talent management and sustainability will continue informing the group's strategy in the future.

Summary of directors' remuneration

During the year the Group paid KShs 108.8 million (2021: KShs 97.1 million) as directors' emoluments.

Summary of Key Audit Matters

The valuation of insurance contract liabilities was the only significant matter considered a key audit matter and reviewed as such by the auditors.

Annual General Meeting

A Virtual Annual General Meeting is scheduled for Thursday, 11 May 2023 at 11.00am.

The Board has put in place measures to ensure that the statutory requirements for calling and conducting a valid general meeting are complied with. The shareholders will be sensitized on how to register and participate at the meeting including how to raise any questions and the options available for shareholders to vote.

Dividend

The Board of Directors have resolved not to declare a dividend for the financial year ended 31 December 2022 (2021: Nil).

The summary consolidated statement of profit or loss and other comprehensive income, summary consolidated statement of financial position, summary consolidated statement of changes in equity and summary consolidated statement of cash flows are extracts of the consolidated financial statements as audited by KPMG Kenya and have received an unqualified opinion dated 13 April 2023. The financial statements below were approved by the Group's board of directors on 13 April 2023 and signed on its behalf by;

Dr John P N Simba, EGH, MBS, OGW
Chairman

Dr Patrick Tumbo, EBS
Group Chief Executive Officer

INDEPENDENT AUDITOR'S REPORT ON THE SUMMARY FINANCIAL STATEMENTS TO THE SHAREHOLDERS OF SANLAM KENYA PLC

Opinion

The summary consolidated financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2022, and the summary consolidated statement of profit or loss and other comprehensive income, the summary consolidated statement of changes in equity and the summary consolidated statement of cash flows for the year then ended and related notes (together "the summary financial statements"), are derived from the audited consolidated financial statements of Sanlam Kenya Plc for the year ended 31 December 2022.

In our opinion, the accompanying summary financial statements are consistent, in all material respects, with the audited consolidated financial statements, in accordance with the Kenyan Companies Act, 2015 and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

Summary financial statements

The summary financial statements do not contain all the disclosures required by the IFRS Standards as issued by the International Accounting Standards Board and the Kenyan Companies Act, 2015. Reading the summary financial statements and our report thereon, therefore, is not a substitute for reading the audited consolidated financial statements and the auditor's report thereon. The summary financial statements and the audited consolidated financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited consolidated financial statements.

The audited consolidated financial statements and our report thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 13 April 2023. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary financial statements

The directors are responsible for the preparation of the summary financial statements in accordance with the Kenyan Companies Act, 2015 and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Dr. Alexander Mbai, Practicing Certificate No. P/2172.

For and on behalf of:

KPMG Kenya Certified Public Accountants

P O Box 40612 - 00100, GPO, Nairobi

Date: 13 April 2023

SANLAM KENYA PLC

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME			
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000	
Income			
Gross earned premium	10,193,402	12,042,018	
Outward reinsurance premium	(1,982,062)	(2,807,179)	
Net earned premium	8,211,340	9,234,839	
Fees and commission income	424,570	575,108	
Investment income	3,350,180	2,892,939	
Fair value losses on financial assets at fair value through profit or loss	(1,015,173)	(357,100)	
Other operating revenue	33,476	73,070	
Total revenue	11,004,393	12,418,856	
Claims and expenses			
Gross benefits and claims paid	(8,106,056)	(8,418,226)	
Reinsurers' share of claims	1,717,748	1,543,251	
Net change in investment and contract liabilities	(936,852)	(1,741,006)	
Net benefits and claims	(7,325,160)	(8,615,981)	
Fee and commission expense	(1,042,899)	(1,338,545)	
Cost of sales - Inventory	-	(11,061)	
Operating expenses	(1,849,567)	(2,348,088)	
Finance costs	(459,022)	(518,863)	
Total benefits, claims and other expenses	(10,676,648)	(12,832,538)	
Profit/(Loss) before share of profit of an associate	327,745	(413,682)	
Profit/(Loss) before tax	327,745	(413,682)	
Income tax expense	(381,814)	(128,677)	
Loss for the year after tax	(54,069)	(542,359)	
Other comprehensive income;			
Other comprehensive income net of tax	-	-	
Total comprehensive income for the year	(54,069)	(542,359)	
Loss attributable to:			
Equity holders of the parent	(11,357)	(401,289)	
Non-controlling interest	(42,712)	(141,070)	
Earnings Per Share			
<i>Basic</i>	(0.08)	(2.79)	
<i>Diluted</i>	(0.08)	(2.79)	
<i>Shares used for calculating earnings per share</i>	<i>144,000,000</i>	<i>144,000,000</i>	

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION			
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000	
Assets			
Property and equipment	578,965	635,229	
Right-of-use assets	64,833	87,811	
Investment properties	2,472,680	2,459,680	
Intangible assets	31,662	35,338	
Deferred income tax asset	231,949	322,499	
<i>Financial assets</i>			
Equity securities at fair value through profit or loss	576,692	671,655	
Government securities at fair value through profit or loss	26,585,346	24,995,992	
Government securities - At amortised cost	1,556,898	263,500	

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION <i>(Continued)</i>			
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000	
Loans	238,509	250,636	
Deferred acquisition costs	185,464	243,969	
Reinsurance share of insurance contract liabilities	1,410,674	1,525,471	
Inventory	89,696	89,696	
Current income tax receivable	254,960	226,183	
Insurance receivables	942,405	836,074	
Receivables and other financial assets	270,141	333,294	
Deposits with financial institutions	1,343,437	1,048,650	
Cash and bank balances	304,645	658,260	
Total assets	37,138,956	34,683,937	
Capital and reserves			
Issued share capital	720,000	720,000	
Statutory fund	1,889,702	1,599,677	
Retained earnings	(2,062,265)	(1,760,883)	
Shareholders' funds	547,437	558,794	
Non-controlling interests	(5,746)	36,966	
Total capital and reserves	541,691	595,760	
Liabilities			
Borrowings	4,088,010	3,000,000	
Insurance contract liabilities	22,908,056	20,914,644	
Investment contract liabilities	2,015,711	2,750,782	
Payables under deposit administration contracts	3,368,093	2,592,275	
Unearned premium	1,283,886	1,965,924	
Deferred income tax	809,873	685,576	
Lease liabilities	82,079	101,209	
Provisions	34,570	34,570	
Current income tax	1,137	-	
Deferred reinsurance commissions	92,971	111,209	
Insurance payables	1,087,692	1,172,231	
Payables and other charges	825,187	759,757	
Total liabilities	36,597,265	34,088,177	
Total equity and liabilities	37,138,956	34,683,937	

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY			
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000	
Issued share capital	720,000	720,000	
Statutory fund	1,889,702	1,599,677	
Retained earning	(2,062,265)	(1,760,883)	
Shareholders' funds	547,437	558,794	
Non-controlling interest	(5,746)	36,966	
Balance at end of the year	541,691	595,760	

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS			
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000	
Net cash flows (used in)/ from generated from operations	(124,140)	1,258,016	
Net cash flows used in investing activities	(515,926)	(824,382)	
Net cash flows used in from/(used in) financing activities	594,797	(526,718)	
Net cash decrease in cash resources	(45,269)	(93,084)	
Effects of changes in exchange rates	(13,559)	13,619	
Cash and cash equivalents at the start of the year	1,706,910	1,786,375	
Cash and cash equivalents at the end of the year	1,648,082	1,706,910	

SANLAM KENYA PLC RESULTS

AUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31 DECEMBER 2022

SANLAM LIFE INSURANCE LIMITED

SUMMARY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Income		
Gross earned premium	6,349,987	7,369,262
Premium ceded to reinsurers	(827,883)	(1,085,246)
Net earned premium	5,522,104	6,284,016
Fees and commission income	168,466	202,106
Investment income	3,023,846	2,731,268
Fair value losses on financial assets at fair value through profit or loss	(942,751)	(334,596)
Other operating revenue	(380)	858
Total revenue	7,771,285	8,883,652
Outgoes		
Gross benefits and claims paid	(4,805,807)	(4,762,972)
Reinsurers' share of claims	621,062	407,550
Gross change in contract liabilities	(707,958)	(1,997,516)
Change in contract liabilities ceded to reinsurers	(228,894)	256,510
Net benefits and claims	(5,121,597)	(6,096,428)
Commission expenses	(519,590)	(741,458)
Operating and other expenses	(1,231,225)	(1,091,949)
Finance costs	(9,146)	(22,000)
Total outgoes	(6,881,558)	(7,951,835)
Profit for the year before tax	889,727	931,817
Income tax expense	(281,118)	(289,831)
Profit for the year after tax	608,609	641,986
Other comprehensive income		
Total other comprehensive income for the period	-	-
Total comprehensive income for the year	608,609	641,986

SUMMARY STATEMENT OF FINANCIAL POSITION		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Assets		
Intangible assets	21,436	34,332
Property and equipment	127,467	136,366
Right-of-use assets	54,804	77,671
Investment properties	2,875,000	2,856,000
<i>Financial assets</i>		
Equity securities at fair value through profit or loss	131,395	226,639
Government securities at fair value through profit or loss	25,416,878	23,441,986
Current income tax receivable	26,310	22,841
Policy loans	146,288	154,976
Mortgage loans	74,550	77,989
Reinsurers' share of insurance contract liabilities	153,423	382,317
Insurance receivables	537,785	407,260
Other receivables	188,409	208,225
Deposits with financial institutions	1,180,184	681,098
Cash and bank balances	236,309	488,457
Total assets	31,170,238	29,196,157
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	843,138	843,138
Share premium	30,260	30,260
Statutory fund	1,889,701	1,599,677
Retained earnings	283,127	264,543
Total capital and reserves	3,046,226	2,737,618
Liabilities		
Long-term policy liabilities:		
Insurance contract liabilities	20,210,792	18,767,763
Investment contract liabilities	2,015,711	2,750,782
Payable under deposit administration contracts	3,368,093	2,592,275
Deferred income tax	809,873	685,576
Lease liabilities	66,207	90,104

SUMMARY STATEMENT OF FINANCIAL POSITION <i>(Continued)</i>		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Insurance payables	1,054,053	1,079,150
Other payables	599,283	492,889
Total liabilities	28,124,012	26,458,539
Total equity and liabilities	31,170,238	29,196,157

SUMMARY STATEMENT OF CHANGES IN EQUITY		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Share capital and share premium	873,398	873,398
Opening reserves	1,864,219	2,191,050
Profit for the year after tax	608,609	641,986
Dividend paid	(300,000)	(1,000,000)
Acquired on business transfer	-	31,184
Balance at end of the year	3,046,226	2,737,618

SUMMARY STATEMENT OF CASH FLOWS		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Net cash generated in operations	417,247	1,370,716
Net cash (used)/generated from investing activities	160,355	(650,385)
Net cash used in financing activities	(330,664)	(1,041,458)
Net (decrease)/increase in cash resources	246,938	(321,127)
Cash and cash equivalents at the start of the year	1,169,555	1,490,682
Cash and cash equivalents at the end of the year	1,416,493	1,169,555

KEY RATIOS		
	31 Dec 2022	31 Dec 2021
Capital adequacy ratio (capital available/required minimum capital)	212%	192%
Claims ratio (claims incurred/net written premium)	55%	58%
Expense ratio (total management expenses/gross written premium)	19%	15%
Retention ratio (net earned premium/gross earned premium)	87%	85%
Commission ratio (commission expenses/gross earned premium)	8%	10%

SANLAM GENERAL INSURANCE LIMITED

SUMMARY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Income		
Gross written premium	3,298,535	4,853,903
Gross earned premium	3,843,414	4,672,756
Reinsurance premium ceded to reinsurers	(1,154,179)	(1,721,933)
Net earned premium	2,689,235	2,950,823
Investment income	233,053	153,101
Commissions earned	256,104	373,002
Total income	3,178,392	3,476,926
Outgoes		
Claims and policyholder benefits	(2,203,563)	(2,519,552)
Operating and other expenses	(488,926)	(1,029,238)
Commission expenses	(523,310)	(597,087)
Finance cost	(27,216)	-
Total outgoes	(3,243,015)	(4,145,877)
Loss before income tax	(64,623)	(668,951)
Income tax (expense)/credit	(87,042)	168,039
Loss for the year	(151,665)	(500,912)
Other comprehensive income:		
Net gains on available for sale financial assets	-	-
Total comprehensive income for the year	(151,665)	(500,912)

SUMMARY STATEMENT OF FINANCIAL POSITION		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Equity		
Share capital	1,028,998	1,028,998
Share premium	100,362	100,362
Accumulated losses	(1,149,761)	(998,096)
Total equity	(20,401)	131,264
Assets		
Property and equipment	49,810	64,121
Right-of-use assets	23,415	39,052
Intangible assets	10,227	1,007
Deferred income tax	222,541	309,583
Investment property	44,000	50,000
Quoted equity investments at fair value through profit or loss	797	516
Receivables arising out of reinsurance arrangements	207,190	212,733
Receivables arising out of direct insurance arrangements	197,430	216,080
Reinsurers' share of insurance contract liabilities	1,257,251	1,143,154
Other receivables	80,900	87,142
Deferred acquisitions cost	185,464	243,969
Government securities at fair value through profit or loss	1,627,776	1,817,506
Government securities at amortised cost	1,097,591	-
Secured loans to employees	194	194
Current income tax asset	186,447	152,130
Deposits with financial institutions	147,448	171,100
Cash and bank balances	63,229	159,129
Total assets	5,401,710	4,667,416
Liabilities		
Insurance contract liabilities	2,697,264	2,146,881
Unearned premium reserve	1,283,886	1,965,924
Borrowings	1,085,700	-
Creditors arising from reinsurance arrangements	33,639	93,079
Deferred Reinsurance Commissions	92,971	111,209
Other payables	196,136	167,848
Lease liabilities	32,515	51,211
Total liabilities	5,422,111	4,536,152
Net assets	(20,401)	131,264

SUMMARY STATEMENT OF CHANGES IN EQUITY		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Share capital and share premium	1,129,360	1,129,360
Accumulated losses	(998,096)	(497,184)
Loss for the year after tax	(151,665)	(500,912)
Balance at end of the year	(20,401)	131,264

SUMMARY STATEMENT OF CASH FLOWS		
	31 Dec 2022 KShs '000	31 Dec 2021 KShs '000
Net cash flows (used in)/ from generated from operations	(157,509)	382,451
Net cash flows used in investing activities	(1,012,738)	(321,961)
Net cash flows from/(used in) financing activities	1,064,254	(16,703)
Net (decrease)/increase in cash resources	(105,993)	43,787
Effects of changes in exchange rates	(13,559)	13,619
Cash and cash equivalents at the start of the year	330,229	272,823
Cash and cash equivalents at the start of the year	210,677	330,229

KEY RATIOS		
	31 Dec 2022	31 Dec 2021
Capital adequacy ratio (capital available/required minimum capital)	100%	-81%
Claims ratio (claims and policyholder benefits/net earned premium)	82%	85%
Expense ratio (operating and other expenses/gross written premium)	15%	21%
Retention ratio (net written premium/gross written premium)	70%	63%
Commission ratio (gross commission/gross written premium)	16%	12%